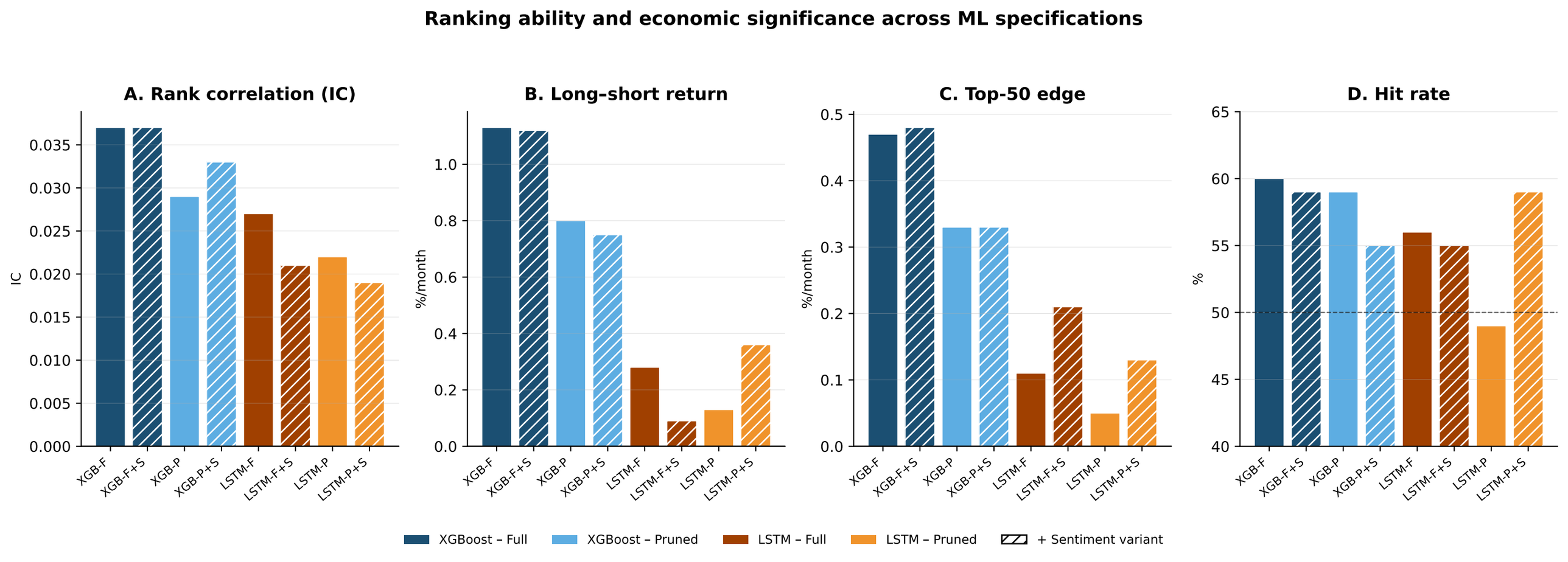
Ranking ability and economic significance across ML specifications
A. Rank correlation (IC)
IC
0.000
0.005
0.010
0.015
0.020
0.025
0.030
0.035
B. Long–short return
%/month
0.0
0.2
0.4
0.6
0.8
1.0
C. Top-50 edge
%/month
0.0
0.1
0.2
0.3
0.4
0.5
D. Hit rate
%
40
45
50
55
60
65
XGB-F
XGB-F+S
XGB-P
XGB-P+S
LSTM-F
LSTM-F+S
LSTM-P
LSTM-P+S
XGBoost – Full
XGBoost – Pruned
LSTM – Full
LSTM – Pruned
+ Sentiment variant